Plante & Moran, PLLC
Suite 600
8181 E. Tufts Avenue
Denver, CO 80237
[redacted]
plantemoran.com

August 12, 2025

Jonathan Cain
Town Manager
Town of Nederland, Colorado
45 West First Street
Nederland, CO 80466

Dear Jonathan:

Thank you for selecting Plante & Moran, PLLC ("PM") to assist you. We are sending this letter and the accompanying Professional Services Agreement, the terms of which are incorporated into this engagement letter, to confirm the nature, limitations, and terms of the services we will provide to the Town of Nederland, Colorado ("Client").

Scope of Services

Client is currently evaluating the potential purchase of all of the assets, IP, personal property, and real property needed for the operations of Eldora Mountain Resort from Eldora Enterprises LLC and Mountain Lease Enterprises, LLC (collectively, the "Company"). The objective of our engagement is to assist you with your due diligence in connection with this potential transaction.

There are no recognized standards or requirements for due diligence procedures; the nature and scope of such procedures are generally determined based on the facts and circumstances of the transaction under consideration. You acknowledge and agree that the nature and scope of the procedures specified in this agreement are your responsibility and that those procedures are sufficient for Client's purposes.

Our due diligence will include the procedures described in the attached Appendix A based on the information made available by Company and will rely on records and data generated by the Company.

We will report our findings in the form of an executive summary memorandum (our report), which may include supporting schedules and other information as appropriate. We will also meet with you to discuss and review our report and the results of the procedures we performed. We will also report to you any other matters we note during the course of our work that we believe warrant your attention or may be of benefit to you.

If Client wishes to engage PM to perform additional services, including accounting, assurance, tax assistance, or additional consulting, PM may be available to provide them under the terms of separate engagement letters and for additional fees.

Fees and Payment Terms

Our fee for this engagement, subject to the terms and conditions of the accompanying Professional Services Agreement, will be based on the value of the services we provide. We estimate that our base fees for this engagement will range from **$55,000** to **$65,000** plus related costs we incur.

Our fee estimates assume that the Company will provide us with accurate and complete financial information on a timely basis, along with appropriate and timely access to select members of its management team. Our estimates also assume that our work will be substantially completed within 30 days and not expected to extend beyond 45 days. If, for some reason, closing of this transaction is delayed and additional updates are required to our report, our fees will be adjusted for the additional time we incur.

Our travel time will be billed at 50 percent of our current hourly rates. Our fees are not contingent on the successful closing of the transaction, nor are they subject to any reduction should the transaction be terminated for any reason.

As you probably realize, our primary cost is salaries that are paid currently. Accordingly, our invoices will be rendered periodically and are due when received. In the event an invoice is not paid timely, a late charge in the amount of 1.25 percent per month will be added, beginning 30 days after the date of the invoice.

Thank you for the opportunity to serve you.

Very truly yours,

Plante & Moran, PLLC

Joanne Baginski

Joanne Baginski, Partner

Agreed and Accepted

We accept this engagement letter and the accompanying Professional Service Agreement (collectively, "Agreement"), which set forth the entire agreement between Town of Nederland, Colorado, (referred to herein as "you," or "Client") and Plante & Moran, PLLC with respect to the services specified in this engagement letter.

Town of Nederland, Colorado

Digitally signed by Jonathan Cain
DN: cn=Jonathan Cain, o=Town of Nederland, ou=Town and Zoning Administrator, email=townadmin@nederlandco.org
Reason: I agree to the terms defined by the placement of my signature on this document
Date: 2025.08.14 21:20:24 -06'00'

Jonathan Cain
Town Manager

Date

Professional Services Agreement
Addendum to Plante & Moran, PLLC Engagement Letter

The terms of this Professional Services Agreement are incorporated into the accompanying engagement letter (collectively, the Professional Services Agreement and the accompanying engagement letter are referred to herein as "Agreement") dated August 12, 2025 between Plante & Moran, PLLC (referred to herein and in such letter as "PM") and Town of Nederland, Colorado (referred to herein as "Client"). Any work performed in connection with the engagement before the date of this letter will also be governed by the terms and conditions of this Agreement.

1. **Management Responsibilities** – The services PM will provide are inherently advisory in nature. PM has no responsibility for any management decisions or management functions in connection with its engagement to provide these services. Further, Client acknowledges that Client is responsible for all such management decisions and management functions; for evaluating the adequacy and results of the services PM will provide and accepting responsibility for the results of those services; and for establishing and maintaining internal controls, including monitoring ongoing activities, in connection with PM's engagement. Client has designated Jonathan Cain, Town Manager, to oversee the services PM will provide.

   Client represents and warrants that any and all information that it transmits, or otherwise makes available, to Plante Moran will be done so in full compliance with all applicable federal, state, local, and foreign privacy and data protection laws, as well as all other applicable regulations and directives, as may be amended from time to time (collectively, "Data Privacy Laws"). Client shall not disclose personal data of data subjects ("Personal Data") who are entitled to certain rights and protections afforded by Data Privacy Laws to PM without prior notification to PM. Client shall make reasonable efforts to limit the disclosure of Personal Data to PM to the minimum necessary to accomplish the intended purpose of the disclosure to PM.

2. **Nature of Services** – PM's procedures and analysis will be based on information and records provided to PM by Eldora Enterprises LLC and Mountain Lease Enterprises, LLC (collectively, the "Company"). PM will rely on such underlying information and records and the procedures and analysis will not include audit or verification of the information and records provided to PM in connection with the procedures and analysis.

   The procedures and analysis PM will perform will not constitute an examination or audit of any Company financial statements or any other items, including the Company's internal controls. Additionally, this engagement will not include preparation of any tax returns. If Client requires financial statements or other financial information for third-party use, or if Client requires tax preparation services, a separate engagement letter will be required. Accordingly, Client agrees not to associate or make reference to PM in connection with any financial statements or other financial information of Client or the Company. In addition, PM's engagement is not designed and cannot be relied upon to disclose errors, fraud, or illegal acts that may exist. However, PM will inform you of any such matters that come to PM's attention.

   PM may have agreed to provide documents in written or electronic form to Client as described in the accompanying engagement letter's Scope of Services (the "Deliverables"). Client agrees that it shall not rely, and will not induce or permit others to rely, upon any draft advice, opinions, information, reports, and other communications other than a final Deliverable. The content of any Deliverable or other advice provided during the provision of the services engaged hereunder is limited to the matters specifically addressed therein, and unless otherwise agreed in the accompanying engagement letter, does not address any other potential tax consequences, including the potential application of tax penalties to any matter. Once provided in final form, PM is not obligated to update any Deliverable to account for new information or changes in law.

3. **Use of Report** – At the conclusion of PM's procedures and analysis, PM will provide Client with a written report as described in the accompanying engagement letter. PM's report will be restricted solely to use by management of Client and Client agrees that PM's report will not be distributed to any outside parties for any purpose other than to carry out legal responsibilities of Client. PM will have no responsibility to update PM's report for any events or circumstances that occur or become known subsequent to the date of that report.

4. **Report Distribution** – Upon Client's written request, PM may, at PM's sole discretion, agree to the distribution of PM's report to parties other than Client management, its owners, those charged with its governance, and other parties providing services to Client in connection with the subject matter of PM's due diligence services, if there is a specific business purpose for such distribution. Client understands and acknowledges that PM will require any such parties to execute a Limited Use Agreement, in a form acceptable to PM, as a condition of any agreement to allow distribution of PM's report.

5. **Confidentiality, Ownership, and Retention of Workpapers** – During the course of this engagement, PM and PM staff may have access to proprietary information of Client, including, but not limited to, information regarding general ledger balances, financial transactions, trade secrets, business methods, plans, or projects. PM acknowledges that such information, regardless of its form, is confidential and proprietary to Client. PM will comply with all applicable ethical standards, laws, and regulations as to the retention, protection, use, and distribution of such confidential client information. Except to the extent set forth herein, PM will not disclose such information to any third party without the prior written consent of Client.

In the interest of facilitating PM's services to Client, PM may communicate or exchange data by internet, email, facsimile transmission or other electronic methods. While PM will use its best efforts to keep such communications and transmissions secure in accordance with PM's obligations under applicable laws and professional standards, Client recognizes and accepts that PM has no control over the unauthorized interception of these communications or transmissions once they have been sent, and consents to PM's use of these electronic devices during this engagement.

Professional standards require that PM create and retain certain workpapers for engagements of this nature. All workpapers created in the course of this engagement are and shall remain the property of PM. PM will maintain the confidentiality of all such workpapers as long as they remain in PM's possession.

Both Client and PM acknowledge, however, that PM may be required to make its workpapers available to regulatory authorities or by court order or subpoena in a legal, administrative, arbitration, or similar proceeding in which PM is not a party. Disclosure of confidential information in accordance with requirements of regulatory authorities or pursuant to court order or subpoena shall not constitute a breach of the provisions of this Agreement. In the event that a request for any confidential information or workpapers covered by this Agreement is made by regulatory authorities or pursuant to a court order or subpoena, PM agrees to inform Client in a timely manner of such request and to cooperate with Client should Client attempt, at Client's cost, to limit such access. This provision will survive the termination of this Agreement. PM's efforts in complying with such requests will be deemed billable to Client as a separate engagement. PM shall be entitled to compensation for its time and reasonable reimbursement of its expenses (including legal fees) in complying with the request.

PM reserves the right to destroy, and it is understood that PM will destroy, workpapers created in the course of this engagement in accordance with PM's record retention and destruction policies, which are designed to meet all relevant regulatory requirements for retention of workpapers. PM has no obligation to maintain workpapers other than for its own purposes or to meet those regulatory requirements.

Upon Client's written request, PM may, at its sole discretion, allow others to view any workpapers remaining in its possession if there is a specific business purpose for such a review. PM will evaluate each written request independently. Client acknowledges and agrees that PM will have no obligation to provide such access or to provide copies of PM's workpapers, without regard to whether access had been granted with respect to any prior requests.

6. **Data Access Management and Consent**– PM has operations both in and outside the United States and may, from time to time and at its reasonable discretion, use third party service providers both in and outside the United States in support of its operations and the services for Client (individually and collectively "Third Party Provider(s)"). Third Party Providers may include, for example and without limitation, PM's international affiliates that support PM's domestic operations, cloud service providers that support PM's infrastructure in general, or independent contractors that serve to supplement a particular engagement team's services for specific engagements. In such circumstances, PM will be solely responsible for the provision of any services by such Third-Party Providers and, where such Third-Party Providers' services involve the accessing or processing of Client data, PM will require Third Party Providers to maintain the confidentiality of any such data and not use such data for any purpose unrelated to assisting with PM's services for Client. In turn, Client, by its duly authorized signature on the accompanying engagement letter, consents to PM disclosing or otherwise allowing access to Client's data to such Third-Party Providers for such purposes. Client further acknowledges that, from time to time, PM representatives may have occasion to access Client data from outside the United States, for example and without limitation, when such PM representative(s) reside in or travel to another country. In such instances, PM agrees to use data access and storage protocols designed to reasonably safeguard data and Client consents to PM accessing Client data from outside of the United States under such circumstances.

7. **Third-Party Data** – PM may reference third-party data sources in performing the services. Third-party data may include publicly available data, commercially available data licensed to PM, or information obtained from other sources. PM will use its judgment, discretion, best efforts, and good faith in evaluating the use of third-party data sources, but does not warrant or guarantee the accuracy, completeness, or timeliness of any data obtained from third-party data sources and disclaims any liability arising out of or relating to the use of data from third-party data sources. Client acknowledges that any commercially available third-party data sources referenced by PM are licensed to PM and PM's ability to share information obtained from commercially available third-party data sources is often restricted by the terms of use granted to PM by the licensor and, unless expressly set forth, PM makes no representation or warranty that Client will have access to data obtained from third-party data sources. If and to the extent PM shares information obtained from third-party data sources with Client, Client agrees not to disclose or redistribute any such third-party data to third parties without the express written consent of PM. This Agreement does not convey to Client a sublicense to any third-party data source unless expressly agreed to in writing and signed by a duly authorized representative of PM. However, nothing herein shall prevent Client from directly contracting with or obtaining a license from any third-party data source if Client determines, in its sole discretion, that any such direct contract or license to be in its best interest.

8. **Fee Quotes** – In any circumstance where PM has provided estimated fees, fixed fees or not-to-exceed fees ("Fee Quotes"), these Fee Quotes are based on Client personnel providing PM staff the assistance necessary to satisfy Client responsibilities under the scope of services. This assistance includes availability and cooperation of those Client personnel relevant to PM's procedures and analysis and providing needed information to PM in a timely and orderly manner. In the event that undisclosed or unforeseeable facts regarding these matters causes the actual work required for this engagement to vary from PM's Fee Quotes, those Fee Quotes will be adjusted for the additional time PM incurs as a result.

   In any circumstance where PM's work is rescheduled, PM offers no guarantee, express or implied, that PM will be able to meet any previously established deadline related to the completion of PM's work. Because rescheduling its work imposes additional costs on PM, in any circumstance where PM has provided Fee Quotes, those Fee Quotes may be adjusted for additional time PM incurs as a result of rescheduling its work.

   PM will advise Client in the event these circumstances occur; however, it is acknowledged that the exact impact on the Fee Quote may not be determinable until the conclusion of the engagement. Such fee adjustments will be determined in accordance with the Fee Adjustments provision of this Agreement.

9. **Payment Terms** – PM's invoices for professional services are due upon receipt unless otherwise specified in the accompanying engagement letter. In the event any of PM's invoices are not paid in accordance with the terms of this Agreement, PM may elect, at PM's sole discretion, to suspend work until PM receives payment in full for all amounts due or terminate this engagement. In the event that work is suspended, for nonpayment or other reasons, and subsequently resumed, PM offers no guarantee, express or implied, that PM will be able to meet any previously established deadlines related to the completion of PM's consulting work or issuance of PM's consulting report upon resumption of PM's work. Client agrees that in the event that work is suspended, for non-payment or other reasons, PM shall not be liable for any damages that occur as a result of PM ceasing to render services.

10. **Fee Adjustments** – Any fee adjustments for reasons described in this Agreement will be determined based on the actual time expended by PM staff at PM's current hourly rates, plus all reasonable and necessary travel and related costs PM incurs and included as an adjustment to PM's invoices related to this engagement. Client acknowledges and agrees that payment for all such fee adjustments will be made in accordance with the payment terms provided in this Agreement.

11. **Force Majeure** – Neither party shall be deemed to be in breach of this Agreement as a result of any delays or non-performance directly or indirectly resulting from circumstances or causes beyond its reasonable control, including, without limitation, fire or other casualty, acts of God, war, other violence, epidemic, pandemic, or other public health emergency or government mandated shut down (each individually a "Force Majeure Event"). A Force Majeure Event shall not excuse any payment obligation relating to fees or costs incurred prior to any such Force Majeure Event.

12. **Exclusion of Certain Damages** – The total liability of PM and PM's officers, directors, partners, members, managers, employees; its affiliated, parent or subsidiary entities; and approved third-party service providers (collectively, "PM Persons") for any and all claims, losses, costs, and damages of any nature which arise from the provision of services hereunder shall not exceed one (1) times the fee paid to PM for the services provided in connection with this Agreement. For any services provided that were not indicated in the scope section of the attached engagement letter, the total liability of PM and the PM persons shall not exceed one (1) time the total fee paid to PM for such services. In no event shall PM or the PM Persons be liable, whether a claim be in tort, contract, or otherwise, for any consequential, indirect, lost profit, punitive, exemplary, or other similar damages relating to PM's services provided under this engagement.

    In the event this Agreement expressly identified multiple phases of services, the total liability of PM and the PM Persons shall be limited to no more than one (1) times the total fees paid to PM for the particular phase of services alleged to have given rise to any such liability.

    None of the limitations of PM's and the PM Persons' liability stated herein shall limit PM's or the PM Persons' liability for willful misconduct or any other liability which cannot be lawfully limited or excluded.

    Notwithstanding the foregoing, neither PM nor any of the PM Persons shall be liable for any claims, losses, costs, and damages resulting, in whole or in part, from Client's failure to provide complete, timely, and accurate information in connection with PM's services.

13. **Defense, Indemnification, and Hold Harmless** – As a condition of PM's willingness to perform the services provided for in the accompanying engagement letter, Client agrees to defend, indemnify, and hold PM and the PM Persons harmless against any claims by third parties for losses, claims, damages, or liabilities, to which PM or the PM Persons may become subject in connection with or related to the services performed in the engagement, unless a court having jurisdiction shall have determined in a final judgment that such loss, claim, damage, or liability resulted primarily from the willful misconduct or gross negligence of PM, or one of the PM Persons. This defense, indemnity, and hold harmless obligation includes the obligation to reimburse PM and/or the PM Persons for any legal or other expenses incurred by PM or the PM Persons, as incurred, in connection with investigating or defending any such losses, claims, damages, or liabilities.

14. **Limitation on Period to File Claims** – Any claim (based in contract, tort, or any other basis) made by either party shall be deemed waived if such claim is not the subject of a lawsuit filed within two years of the conclusion of this Agreement. This provision shall not apply to any indemnification obligation created by this Agreement or applicable law, or to any action to recover fees for services provided under this Agreement.

15. **Legal Advice** – Client acknowledges that some of PM's partners and employees are licensed to practice law, but PM is not registered as a law firm in any jurisdiction. Client shall not rely upon any advice given by PM, any PM partner or employee (collectively, the "PM Persons") as legal advice, nor shall Client rely upon the PM Persons to satisfy, or assist Client in satisfying, any legal obligations. Upon request, PM may assist Client through the recommendation of counsel who may assist Client. Where such assistance is provided, Client agrees to hold PM harmless, and indemnify PM for the claims of third parties, for all damages claimed as a result of PM's recommendations.

16. **Beneficial Ownership Reporting** – Beginning January 1, 2024, the Corporate Transparency Act ("CTA") requires certain companies to provide specified information related to beneficial ownership to FinCEN, a bureau of the United States Department of Treasury. Failure to comply with the beneficial ownership reporting requirements established by the CTA may be punishable by civil fines and criminal penalties.

    PM's services shall not consist of the provision of advice regarding the CTA and its beneficial ownership reporting requirements or any similar reporting requirements, or the preparation and/or the submission of beneficial ownership reports. PM recommends that any Client requiring such services should contact Client's legal counsel.

17. **Receipt of Legal Process** – In the event PM is required to respond to a subpoena, court order, or other legal process (in a matter involving Client but not PM) for the production of documents and/or testimony relative to information PM obtained and/or prepared during the course of this Agreement, Client agrees to compensate PM for the affected PM staff's time at such staff's current hourly rates, and to reimburse PM for all of PM's out-of-pocket costs incurred associated with PM's response unless otherwise reimbursed by a third party.

18. **Termination of Engagement** – This engagement may be terminated by either party upon written notice. Upon notification of termination of this engagement, PM will cease providing services under the engagement. Client shall compensate PM for all time expended and reimburse PM for all out-of-pocket expenditures incurred by PM through the date of termination of this engagement.

19. **Entire Agreement** – This Agreement is contractual in nature and includes all of the relevant terms that will govern the engagement for which it has been prepared. The terms of this Agreement supersede any prior oral or written representations or commitments by or between the parties regarding the subject matter hereof. Any material changes or additions to the terms set forth in this Agreement will only become effective if evidenced by a written amendment to this Agreement, signed by all of the parties.

20. **Severability** – If any provision of this Agreement (in whole or part) is held to be invalid or otherwise unenforceable, the other provisions shall remain in full force and effect.

21. **Conflicts of Interest** – PM's client acceptance procedures include a check as to whether any conflicts of interest exist that would prevent PM's acceptance of this Agreement. No such conflicts have been identified. Client understands and acknowledges that PM may be engaged to provide professional services, now or in the future, unrelated to this engagement to parties whose interests may not be consistent with interests of Client.

22. **Electronic Signatures** – The parties intend that any electronic signature shall be given full legal effect as if it were a handwritten signature.

23. **Governing Law** – This Agreement shall be governed by and construed in accordance with the laws of the State of Colorado, and jurisdiction over any action to enforce this Agreement, or any dispute arising from or relating to this Agreement shall reside exclusively within the State of Colorado.

End of Professional Services Agreement

Appendix A – Scope of Procedures

Financial Due Diligence

We will perform the following procedures as it relates to the Due Diligence Periods as of and for the fiscal years ended September 30, 2023 ("2023"), 2024 ("2024"), and the trailing twelve months ended July 31, 2025 ("TTM"), and the year-to-date periods ended July 31, 2024 and July 31, 2025. Our procedures as of 2023 and 2024 will be limited to a cursory review for comparative purposes only.

General

1. Inquire and understand the basis of accounting
2. Inquire about the general ledger and other information systems utilized
3. Understand the consolidation and related elimination entries (if applicable)
4. Inquire about the composition of the financial and accounting group, including roles and responsibilities
5. Inquire about accounting policies and procedures related to significant financial statement processes and estimates
6. Inquire about the nature and magnitude of any related-party transactions, and determine if at arm's length
7. Inquire about the nature and magnitude of any shared services or cost allocations between entities
8. Identify significant departures from GAAP, and quantify impact, if information is available

Quality of Earnings

9. Review the EBITDA calculation, and compare it to any amounts previously reported
10. Review and obtain support for Company-proposed EBITDA adjustments for the Due Diligence Periods, including an analysis of pro forma adjustments as well as discretionary, unusual, and non-recurring transactions disclosed to us
11. Identify any personal, out-of-period, nonrecurring, or unusual transactions that should be contemplated to normalize EBITDA
12. Contemplate the pro forma EBITDA impact of post-close standalone infrastructure costs, compensation and other considerations

Carve Out and Standalone Considerations

13. Inquire and understand the historical transactional level detail of the carve out entity and Parent
14. Obtain and review the Company's carve out financial statements
15. Inquire and understand the Company's assumptions regarding the carve out financial statements
16. Inquire and understand the Company's processes for determining standalone considerations
17. Inquire and contemplate any additional cost considerations

Income Statement

18. Cash Analysis
    a. Compare cash receipts per the bank statements with reported revenues per the Company's internal financial reports for the TTM period
    b. Compare cash disbursements per the bank statements with reported expenses per the Company's internal financial reports for the TTM period
19. Revenue and gross profit analysis
    a. Inquire and understand the revenue recognition and cutoff policies
    b. Inquire about the process for pricing products or services including the frequency of changing prices and any promotional/discount programs offered
    c. Analyze and inquire about revenue by type including:
        i. Product/Service concentration
        ii. Growing/declining product/Service
    d. Analyze monthly revenue and gross margin trends for the Due Diligence Periods, and investigate any significant fluctuations
20. Cost of revenue and operating expense analysis
    a. Inquire about and analyze the components within the cost of revenue to ascertain the propriety of these amounts being included in the gross margin

b. Discuss any non-recuring adjustments and unusual variances for potential EBITDA adjustments
c. Inquire about the fixed and variable nature of costs
d. Analyze changes in headcount and compensation
    i. Inquire of any headcount additions or open positions that may affect run-rate profitability
    ii. Analyze compensation for owners and relatives, management, and highly compensated employees; compare to prior periods and consider normalizing adjustments
e. Inquire and understand material classifications within operating expenses to determine proper accounting treatment and inquire about significant fluctuations
f. Obtain an understanding of bonuses, commissions, and other deferred compensation programs
g. Reconcile total payroll costs to third-party reports or tax filings for the Due Diligence Periods

Balance Sheet

21. Accounts receivable
    a. Analyze the accounts receivable aging reports as of the Due Diligence Periods and make inquiries as to collectability for significant past due accounts as of the most recent Due Diligence Period
    b. Note any related-party, significant nontrade receivables, or other unusual items included in accounts receivable
22. Inventory and reserves including slow-moving and obsolete inventory
    a. Obtain a detailed schedule of inventory, aged if available, as of the Due Diligence Periods and reconcile reported amounts
    b. Inquire about inventory valuation methodology, latest physical inventory results and procedures
    c. Inquire about methodology to identify slow-moving/obsolete items
23. Prepaid and other current assets
    a. Obtain a detailed schedule of prepaid and other current assets as of the Due Diligence Periods to determine proper accounting treatment
24. Property and equipment
    a. Obtain a roll forward of property, plant, and equipment (by major classification) as of the Due Diligence Periods
    b. Inquire about significant property and equipment additions, retirements, or abandonment during the year
    c. Inquire about any significant anticipated capital expenditure needs and deferred capital expenditures
    d. Inquire about the capitalization policy and note any changes in practice
    e. Analyze historical capital expenditures and categorize as growth or maintenance
25. Accounts payable, accrued expenses, and other liabilities
    a. Obtain a schedule of accounts payable, accrued expenses, and other liabilities as of the Due Diligence Periods and review for appropriateness of assuming those liabilities, and identify any vendor concentrations or potential issues
    b. Inquire about the procedures for ensuring proper period-end cutoff and capturing any unrecorded liabilities
    c. Analyze large outstanding balances greater than 90 days and obtain explanations as to payment status
    d. Note any related-party, significant nontrade payables, or other unusual items included in accounts payable
    e. Inquire about any additional unrecorded liabilities, including accruals, warranties, guarantees, etc.
    f. Analyze deferred revenue and cash received from customers that relate to services yet to be provided
    g. Inquire as to the status of any legal claims or threatened litigation
    h. Inquire as to the existence of any severance, special compensation, or deferred compensation agreements
    i. Inquire about payments or other contractual adjustments expected to result from the proposed transaction or change in control

Net Working Capital

26. Calculate the monthly net working capital for the TTM period and historical averages for the trailing three, six, and twelve-month periods, and compare it to the Net Working Capital Target to ascertain adequacy, if applicable
27. Incorporate working capital adjustments noted during the due diligence